SENATE COMMITTEE ON ENERGY AND ENVIRONMENT

Hearing on Senate Bill 214, 26 March 2025 (excerpt)

CHAIR. We resume. The Director of the State Energy Office is with us.

SENATOR HOLLAND. Director, before we get to the fee, I want the size of the thing on the record. How much fossil fuel is sold in this State in a year?

THE DIRECTOR. Gross receipts of all sellers, last completed fiscal year, were $4,100 million. That is the figure in our annual report. It has moved between about $3,200 million and $4,450 million over the last five years.

SENATOR HOLLAND. And how much of that is the industry as a share of the State?

THE DIRECTOR. The Statistical Office puts the sector at about four per cent of total state industry revenue. I would not want to be held to the second decimal.

SENATOR OKONKWO. Director, how many sellers are we talking about?

THE DIRECTOR. 188 filed returns last year. Most are small. The ones above our reporting floor number about a dozen and account for the great bulk of it.

SENATOR OKONKWO. A dozen. And of those, how many are Arden companies?

THE DIRECTOR. Two, by headquarters. I would rather the Committee took the figures from the returns than from me on that point; the definitions in the bill are not the definitions we use for reporting.

CHAIR. That is a fair caution and the Committee will note it.

SENATOR HOLLAND. Director, one more on the returns. You said the definitions in the bill are not the definitions you use. Where do they part company?

THE DIRECTOR. Two places. We report by seller of record at the point of sale. The bill's definition turns on the company's revenue, which we do not collect. And our reporting floor is a dollar figure applied to in-state receipts; the bill's third requirement is a proportion of something we do not measure. So a seller could be above our floor and outside the bill, or below our floor and inside it. I cannot tell the Committee which sellers are which.

SENATOR HOLLAND. Who can?

THE DIRECTOR. The sellers themselves. Or the Committee could require a filing.

SENATOR OKONKWO. Chair, I move that the Committee request revenue disclosures from each seller above the reporting floor.

CHAIR. The motion is in order. Without objection. Director, the Committee will send you the list.

SENATOR VOSS. While we have the Director. The fund is to pay for barrier walls and breakwaters. Has this office costed any of that?

THE DIRECTOR. Not this office. The Emergency Management Agency holds the damage assessments and the Department of Transportation has a figure for raising the coastal highway segments. I am told 17 segments flood at spring tides and the plan programmes 7 of them.

SENATOR VOSS. And the rest are unfunded.

THE DIRECTOR. That is my understanding. It is not my department.

CHAIR. The Committee will take Transportation separately. We turn to the second witness. Ms Reyes, you appear for the Property Assessment Division.

MS. REYES. Chair, the Division has been asked how many parcels meet the definition of Affected Property. The answer is 73,900 on the current assessment, subject to one caution I should put on the record: assessed value is not market value. Across the State our ratio study puts assessed value at about 89.7 per cent of sale price in the year after revaluation and lower after that. In the coastal counties the most recent ratio was 81.5 per cent.

SENATOR VOSS. So a house can sell above the threshold and be assessed below it.

MS. REYES. Yes, and the reverse. The count I have given is on assessed value, as the bill directs.

SENATOR OKONKWO. How often do you revalue?

MS. REYES. On a 7-year cycle by county, not statewide in one year. 7 counties were revalued this year. That means a comparison across counties has to allow for where each one sits in the cycle.

SENATOR VOSS. And the renovation trigger compares cost against assessed value.

MS. REYES. It does. Because assessed value lags the market, the same work is more likely to cross the five per cent line late in a cycle than early. I have drawn that to the attention of Building Standards.

CHAIR. Thank you both.

SENATOR VOSS. I want to come back to the flood maps. My district has had three revisions in 7 years and each one moved the line. If the fee attaches to a zone on a map, whose map is it?

THE DIRECTOR. The Board's, under the definition as drafted. The Board revised the high-risk designations most recently in the last biennium.

SENATOR VOSS. Then a homeowner can be brought inside the fee by a map revision he had no part in.

CHAIR. The Committee has the point. We will take the Board on that when it appears. Director, thank you. We stand in recess until two o'clock.

Transcript prepared by the Office of the Secretary of the Senate. Portions of the hearing not bearing on the bill have been omitted.